Introduction to Social and Solidarity Economy

Chapter 5 – Failures correction, Empowerment, Social innovation

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Introduction

- Why does SSE exist and develop?
- How does it work?

→ Some partial answers in this chapter:

  - Part of SSE is intended to correct default, failures, problems
  - Part of SSE is also positively engaged in empowering people
  - Social innovation is a specific way to address those issues

Introduction

Plan:

1. A negative standpoint: SSE as resulting from failures (and trying to solve them)
2. A positive standpoint: SSE for empowering people
3. Social innovation as a tool for answering needs and aspirations

1. A negative standpoint: SSE as resulting from failures (and trying to solve them)

- The purpose here is to have a look of different theoretical justifications of SSE existence, that can shed some light on various cases of SSE
- SSE is sometimes considered as a "Third sector", that is, non-market, and limited to Associations + Foundations
- Various theories (originating in the USA, 1960s) try to explain why this Third Sector exist. They adopt negative standpoints:
  - Either Third Sector exists because of existing failures that it tries to correct
  - Or Third Sector itself have shortcomings that can be surpassed

1. A negative standpoint: SSE as resulting from failures (and trying to solve them)

1. The theory of **State failures** (Weisbrod, 1975, 1977, 1988): Third Sector develops because the State does not satisfy important social needs: health, schooling, etc.
   - This theory requires to have a specific conception of what the State/government should do. Yet, this depends on countries and periods in the history

1. A negative standpoint: SSE as resulting from failures (and trying to solve them)

2. The theory of **Market failures** (Hansmann, 1987): Third Sector exists because being not-for-profit makes its services more reliable than capitalist firms, when quality concerns are first
   - They are more reliable because they do not seek profit first by pressuring costs
   - Examples of psychiatric services, nursing homes and care to the disabled, in the USA, studied by Weisbrod:
     - NPOs tend to have more skilled employees per patient
     - For-profit companies tend to give more medication to the patients (because this reduces the need of employees)

1. A negative standpoint: SSE as resulting from failures (and trying to solve them)

3. The theory of **Transaction costs** applied to SSE:
   - From Oliver Williamson's transaction costs theory (1975):
     - *Transaction costs* are: preparation and control costs of economic transactions
   - Transaction costs reduction: some OSSE may be seen as intermediaries that reduce transaction costs. Examples:
     - Foundations…
       as intermediaries between donors and beneficiaries (which are frequently associations) (Annheier, 1995)
     - Cooperatives of farmers…
       as intermediaries that strengthen the market power of individual farmers, who otherwise would face dominant central purchasing groups
   - Member's control of activities (Ben-Ner and Van Hoomissen, 1991): Third sector emerges from voluntary persons in order to get a control over what is provided to them; this is a customer-driven economy
     - Examples with associative nurseries

1. A negative standpoint: SSE as resulting from failures (and trying to solve them)

4. An interesting reverse approach: there are also "**Voluntary sector failures**" (from Salamon's works):
   - Third Sector experiences limits as far as it relies heavily on volunteering
     - Examples of community schools or community health centers based on low funding and high volunteering
   - Surpassing those limits requires:
     - Either that associations get professionalized (notably by hiring skilled and full-time employees, and by efficiently organizing processes)
     - Or that these activities are taken over by private companies (funding them with market sales) or governments (funding them with taxes)

2. A positive standpoint: SSE for empowering people

- Definition of "empowerment" from the World Bank:

"Empowerment is the process of **increasing the capacity** of individuals or groups to **make choices** and to transform those choices into desired **actions and outcomes**.

Central to this process are actions which both build **individual and collective assets**, and improve the **efficiency and fairness** of the organizational and institutional context which govern the use of these assets"

2. A positive standpoint: SSE for empowering people

- Comments from this definition:
  - Empowering= giving more power and more autonomy
  - Empowerment concept is very close to **Amartya Sen's** approach to "capabilities" (=capacity to implement choices that change the conditions of living)
  - "Fairness" may refer to **John Rawls**' approach (= inequalities are bearable as far as the living standard of the poorest improve)
    — and fairness finds application in many SSE experiences anyway
  - SSE seems, at first, to be a very good tool for empowering people

2. A positive standpoint: SSE for empowering people

From Allen (1998)

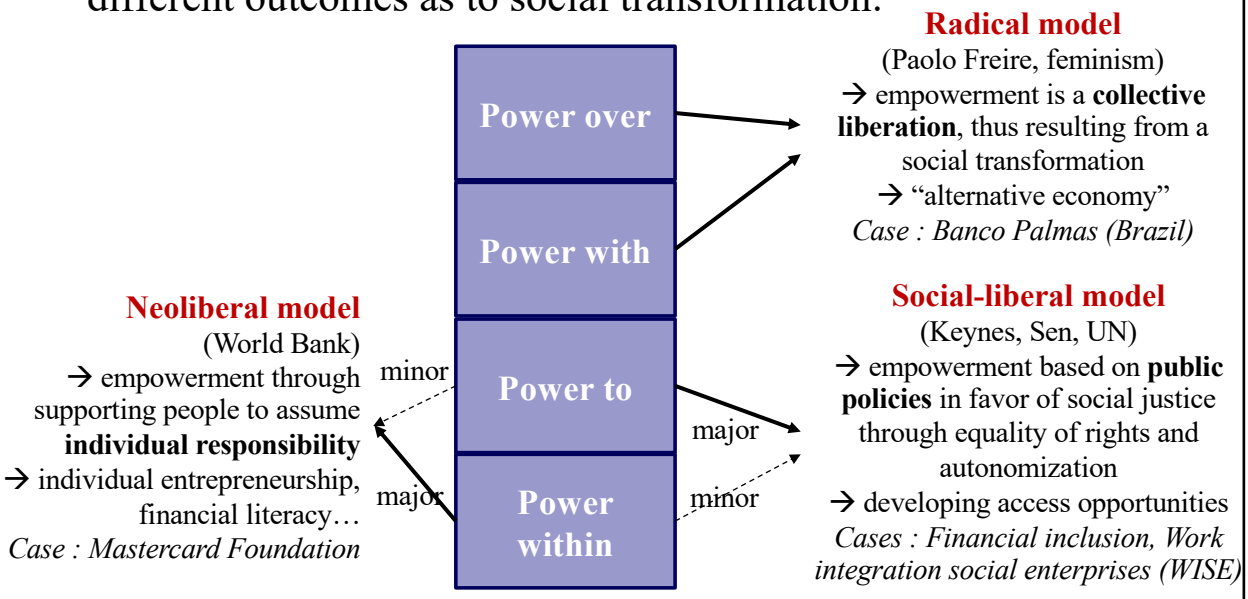
Form of power	Definition	Consequences of such empowerment	Example, cases
Power over	**Domination and subordination** relationship, which may lead to an active and passive resistance	Related to a zero-sum game: empowering ones disempowers others. Political consequences of this empowerment are important	Contesting existing norms and dominations, for example for feminine autonomy → Trade unions; women's organizations
Power with	**Common agreement, or collective organization** of persons, to achieve common goals	Collective organization, social mobilization, building alliances, coalitions, networks…	Feminist movements, self-help groups, mutual societies, community-based organizations, all sorts of co-operatives
Power to	Power to **take decisions**, to solve problems, to create, to do	Reinforcement of one's capacities; participation to collective decisions; development of leadership capacities	Power to develop one's own activity or business → Microcredit and entrepreneurship training
Power within	**Self-recognition** of one's capacities on the basis of one's daily experiences	Higher degree of self-confidence, self-esteem, recognition of one's rights and capacities	Multi-dimensional training and education, including literacy and information on legal rights → Many NGOs

2. A positive standpoint: SSE for empowering people

- Empowerment may be:
  - Individual: e.g. microcredit for individual business development
  - collective (through existing communities or *ad hoc* groups): e.g. community-based organizations
  - Political: e.g. trade unions
- Empowerment processes are focussed on a given local territory or on a specific group
- SSE organisations may be *empowering* or/and *empowered*

2. A positive standpoint: SSE for empowering people

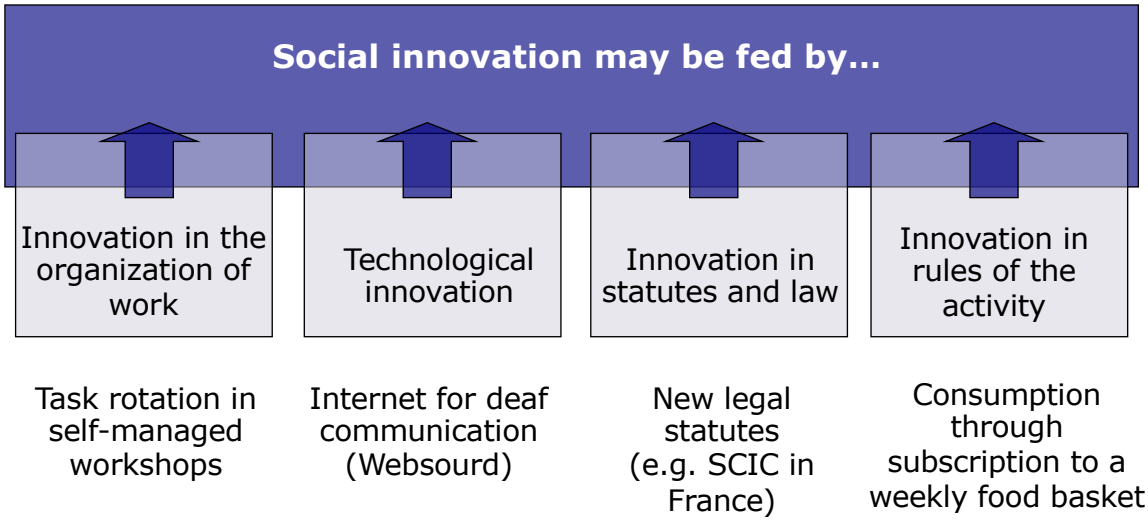
- 3 models of empowerment (Bacqué and Biewener, 2015), with different outcomes as to social transformation:



3. Social innovation as a tool for answering needs and aspirations

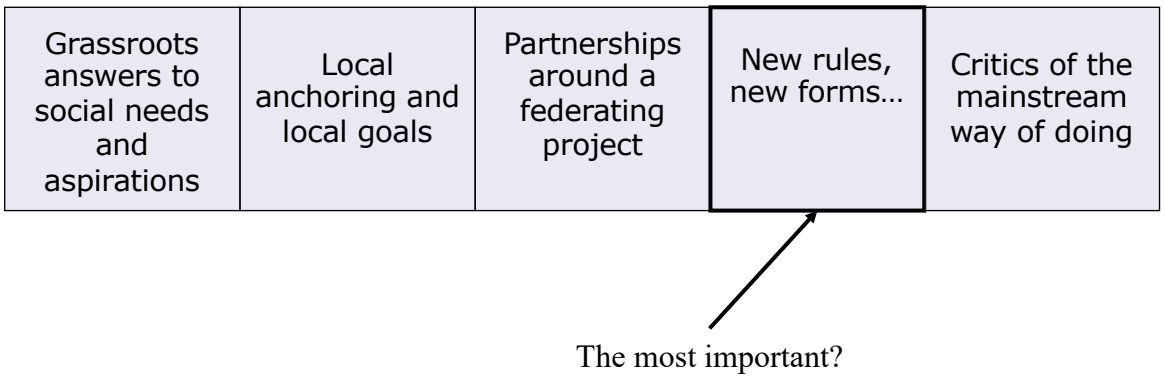
- A general definition:
  Social innovation answers to social needs and society aspirations through initiatives embedded in territories and associating various stakeholders
- Social innovation is especially provided by SSE, and especially by "social entrepreneurs"

3. Social innovation as a tool for answering needs and aspirations



3. Social innovation as a tool for answering needs and aspirations

- 5 key components of social innovation:



3. Social innovation as a tool for answering needs and aspirations

- 5 key components of social innovation:

Grassroots answers to social needs and aspirations

- Social innovators have a knowledge of the field
- "Needs" and "aspirations":
  this means trying to **solve** problems (to satisfy needs)
  or to **transform** things (to satisfy aspirations)

3. Social innovation as a tool for answering needs and aspirations

- 5 key components of social innovation:

Local anchoring and local goals

- Territory provides resources, based on the principle of proximity
- It is thus a matter of social capital at the local level
- "Local goals" means that needs and aspirations are considered dependent on the local context
- Success does not take the form of scaling up the size of the activity (getting bigger) but **spinoffs** (multiplying local initiatives)

3. Social innovation as a tool for answering needs and aspirations

- 5 key components of social innovation:

Partnerships around a federating project

- Mobilizing various actors (networks, organizations, institutions) around a federating project
- → **hybridizing resources** through partnerships

3. Social innovation as a tool for answering needs and aspirations

- 5 key components of social innovation:

- Definition of **specific rules**:
  price setting,
  work organization,
  etc.

New rules, new forms…

3. Social innovation as a tool for answering needs and aspirations

- 5 key components of social innovation:

  - Social innovation express a **dissent**: from refusing fatality, to a transformative will

Critics of the mainstream way of doing

Investigating cases as to Failures correction, Empowerment, Social innovation

- Groups of students
- Questions on interesting cases:
  - What problems are addressed?
  - What actions on (power) capacities of people (if any)?
  - What is innovating?